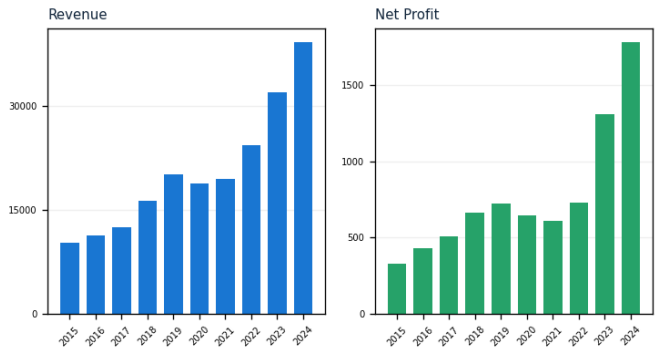
TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary

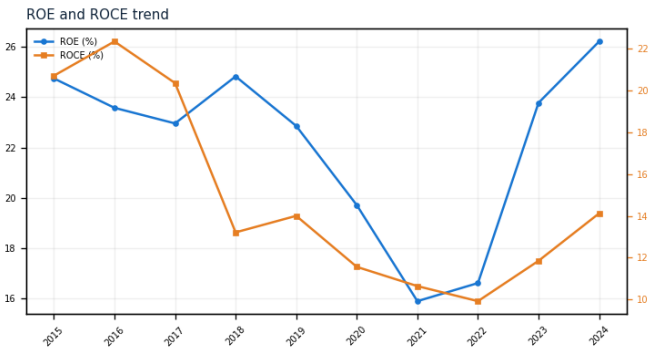
ROE	ROCE	Revenue CAGR (5Y)
26.22%	14.12%	14.19%

PAT CAGR (5Y)	Debt / Equity	Free Cash Flow
19.67%	3.83x	-2,254.00 Cr

Revenue & net profit (10Y)



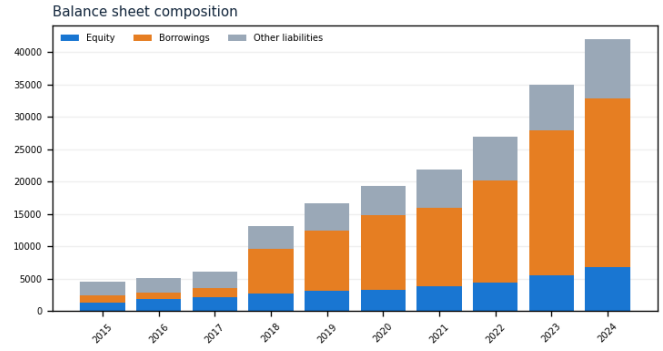
Returns (dual-axis)



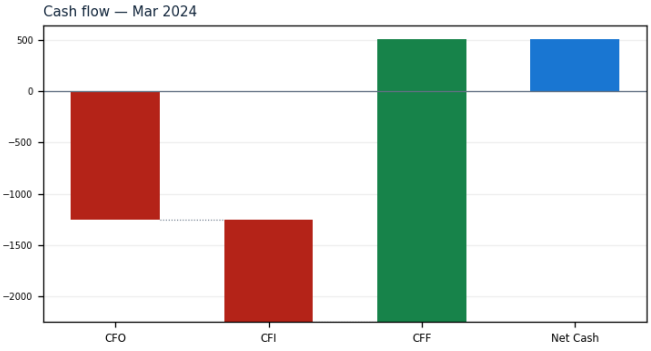
TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary

Balance sheet



Cash flow waterfall



PROS

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation | Growth Funded by Debt